



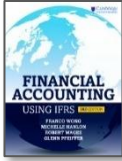
ANALYSING TRANSACTIONS

RSM219: INTRODUCTION TO FINANCIAL ACCOUNTING

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WELCOME



FOUNDATIONS

Class 1

Introducing financial accounting

Class 2

Conceptual framework

Class 3

Analysing transactions (1/2)

Class 4

Analysing transactions (2/2)

ANALYSIS

Class 5

Reporting and analysing cash flows

Class 6

Analysing and interpreting financial statements

OPERATIONS

Class 7

Revenues & receivables

Class 8

Inventories and current liabilities

INVESTING & FINANCING

Class 9

Long-term operating assets

Class 10

Financial investments

Class 11

Debt and equity
Course review

CLASSWORK (~ 5 to 8 hours)

BEFORE CLASS (~ 1.5 hours):

- ☐ (60 min) Read the textbook relating to the learning outcomes for this class. Focus on pp. 45-49, 52-57.
- ☐ (30 min) Prepare "rough" point-form answers to the exercises. Be ready to discuss your ideas (and prepare your questions).

CLASS (~ 2 hours):

- ☐ Attend the lecture and ask clarifying questions.

AFTER CLASS (~ 1 to 3 hours):

- ☐ (10-30 min) Debrief the key concepts and workbook notes.
- ☐ (30-90 min) Work through the practice questions/problems.
- ☐ (30-90 min) Clarify remaining topics by reading the textbook and posting any remaining questions to [discussion board](#).

TUTORIAL (~ 1 hour):

- ☐ (60 min) Attend the tutorial session and clarify concepts.

ONGOING WORK (~ 0.5 hours)

- ☐ (30 min) Submit the Weekly Assignment on [Quercus](#).

LEARNING OUTCOMES (LOs)

READINGS: Ch. 2 (pp. 38-67)

- ☐ LO1 | Describe and construct the balance sheet and understand how it can be used for analysis. (pp. 40-45)
- ☐ LO2 | Use the financial statement effects template (FSET) to analyse transactions. (pp. 45-49)
- ☐ LO3 | Describe and construct the income statement and discuss how it can be used to evaluate management performance. (pp. 49-50)
- ☐ LO4 | Explain revenue recognition, accrual accounting, and their effects on retained earnings. (pp. 50-56)
- ☐ LO5 | Illustrate equity transactions and the statement of changes in equity. (pp. 56-57)
- ☐ LO6 | Use journal entries and T-accounts to analyse and record transactions. (pp. 57-65)

READINGS (for class 4): Ch. 3 (pp. 94-114, 117-118)

- ☐ LO1 | Identify the major steps in the accounting cycle. (pp. 94-95)
- ☐ LO2 | Review the process of journalising and posting transactions. (pp. 95-101)
- ☐ LO3 | Describe the adjusting process and illustrate adjusting entries. (pp. 101-110)
- ☐ LO4 | Prepare financial statements from adjusted accounts. (pp. 110-114)
- ☐ LO6 | Analyse changes in balance sheet accounts. (pp. 117-118)

WARM-UP

Financial statement analysis – four lenses:

1.

STRATEGIC

Identify profit potential & business risks
2.

ACCOUNTING

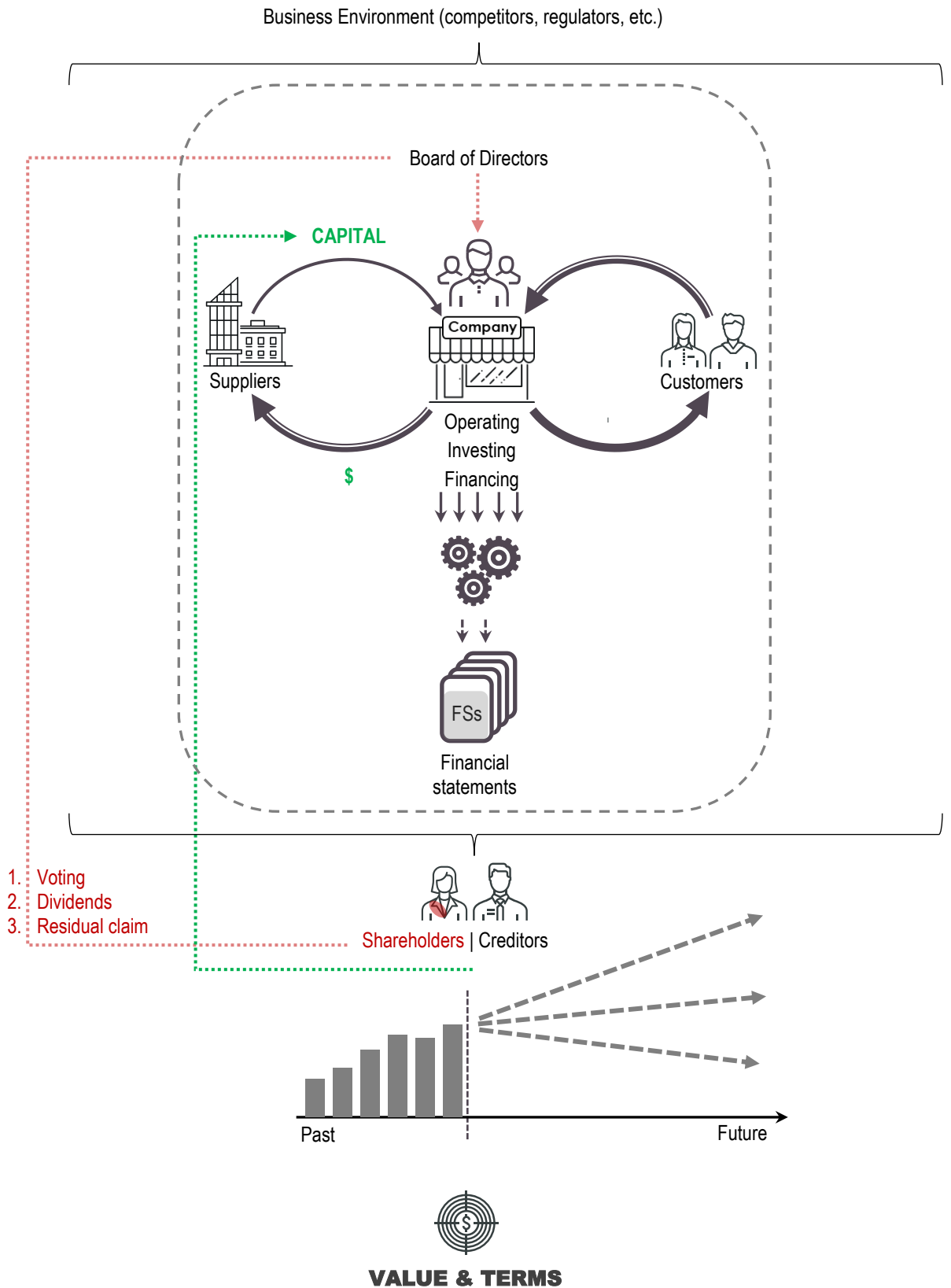
Evaluate quality & adjust to “reality”
3.

FINANCIAL

Evaluate performance, risk, & sustainability
4.

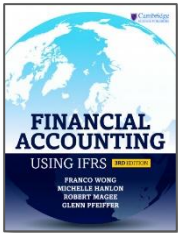
PROSPECTIVE

Forecast & value



ANALYSING TRANSACTIONS

KEY POINT | We use the accounting equation to analyse transactions & events



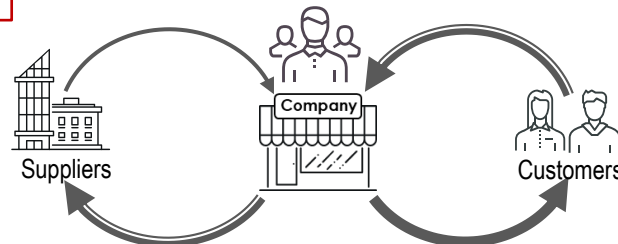
Chapter 2 | LOs 2, 4, and 5

- ☐ Use the financial statement effects template (FSET) to analyse transactions. (pp. 45-49)
- ☐ Explain revenue recognition, accrual accounting, and their effects on retained earnings. (pp. 50-56)
- ☐ Illustrate equity transactions and the statement of changes in equity. (pp. 56-57)

Process for understanding the impact of specific decisions, transactions, and events:

- ☐ **Use the basic accounting equation** to analyze the impact of transactions, events, and decisions on the financial statements. You can use the following steps:
 1. **Deeply understand the transaction, event, or decision.** What are the motivations or intentions behind it? What are the contractual or legal implications? Focus on the underlying economic and legal features and implications; don't worry about "accounting" at this stage. It is helpful to visualize what is "given up" and what is "received" in a transaction. If some part of the transaction happens in the future, then drawing a timeline can be very helpful.
 2. **Map the transaction, event, or decision to the accounting equation.** Remember the key definitions of all financial statement elements and work from left to right (i.e., start with assets, then consider liabilities, and finally review the impact on residual equity – if any).
- ☐ **Transactions are recorded as they happen.** They are also reviewed at the end of each reporting period and adjusted as needed.

STEP 1: Deeply understand



STEP 2: Map to the accounting equation

ASSETS

FUTURE: expected benefit
PRESENT: control (right)
PAST: events

Current assets:

- ☐ Cash
- ☐ Accounts receivable
- ☐ Investments
- ☐ Inventory
- ☐ Prepaid expenses

Noncurrent assets:

- ☐ Investments
- ☐ Property, plant, and equipment (PPE)
- ☐ Intangible assets
- ☐ Goodwill

= LIABILITIES

FUTURE: expected outflow
PRESENT: obligation
PAST: events

Current liabilities:

- ☐ Accounts payable
- ☐ Accrued liabilities
- ☐ Short-term borrowings
- ☐ Deferred revenues
- ☐ Current part of long-term debt

Noncurrent liabilities:

- ☐ Long-term debt
- ☐ Other long-term liabilities

+ EQUITY

or "NET ASSETS" = ASSETS – LIABILITIES
 Can be **contributed** or **earned**

Contributed:

- ☐ Share capital (capital stock)
- ☐ Contributed surplus
- ☐ Treasury shares

Earned:

- ☐ **Retained earnings (or Accumulated Surplus)**
 - = Retained earnings (start of period)
 - + Earnings (i.e., net income = revenues - expenses)
 - Distributions (e.g., dividends)
- ☐ Accumulated other comprehensive income (AOCI)

EXERCISE: Total Health Ltd. (THL)

EXERCISE: Total Health Ltd. (THL)

Total Health Ltd. is a new company selling health and fitness products.

REQUIRED: Analyse the transactions below. Map the impact of each transaction (and any required adjustments) to the accounting equation.

July Transactions

Ref.	Description
1.1	On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.
1.2	On July 15, THL purchased \$3,000 of inventory "on account", agreeing to pay the supplier within 30 days.
1.3	On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.
1.4	To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.

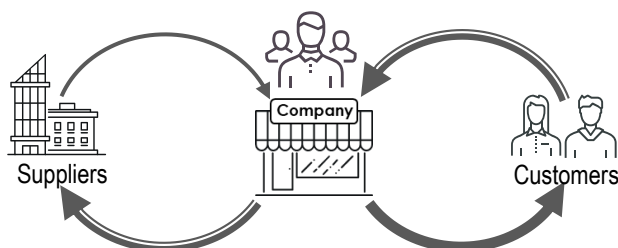
August Transactions

Ref.	Description
2.1	On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.
2.2	Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.
2.3	On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).
2.4	On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.
2.5	During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.
2.6	At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.
2.7	At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10 th .
2.8	On August 31, THL declared and paid out \$1,000 in dividends.

July transactions (mapping)

1.1 On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

STEP 1: Deeply understand



STEP 2: Map to the accounting equation

ASSETS

FUTURE: expected benefit
PRESENT: control (right)
PAST: events

Current assets:

- ☐ Cash
- ☐ Accounts receivable
- ☐ Investments
- ☐ Inventory
- ☐ Prepaid expenses

Noncurrent assets:

- ☐ Investments
- ☐ Property, plant, and equipment (PPE)
- ☐ Intangible assets
- ☐ Goodwill

=

LIABILITIES

FUTURE: expected outflow
PRESENT: obligation
PAST: events

Current liabilities:

- ☐ Accounts payable
- ☐ Accrued liabilities
- ☐ Short-term borrowings
- ☐ Deferred revenues
- ☐ Current part of long-term debt

Noncurrent liabilities:

- ☐ Long-term debt
- ☐ Other long-term liabilities

+

EQUITY

or "NET ASSETS" = ASSETS – LIABILITIES
 Can be **contributed** or **earned**

Contributed:

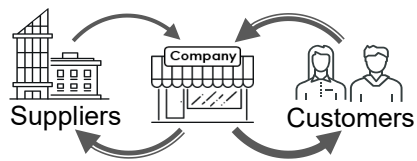
- ☐ Share capital (capital stock)
- ☐ Contributed surplus
- ☐ Treasury shares

Earned:

- ☐ **Retained earnings (or Accumulated Surplus)**
 - = Retained earnings (start of period)
 - + Earnings (i.e., net income = revenues - expenses)
 - Distributions (e.g., dividends)
- ☐ Accumulated other comprehensive income (AOCI)

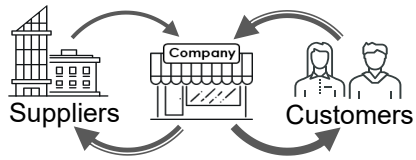
Balance Sheet					Income Statement		
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense = Net Income

1.2 On July 15, THL purchased \$3,000 of inventory “on account”, agreeing to pay the supplier within 30 days.



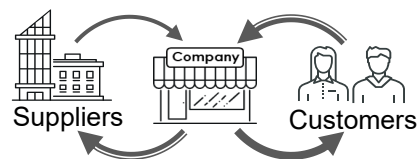
Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

1.3 On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.



Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

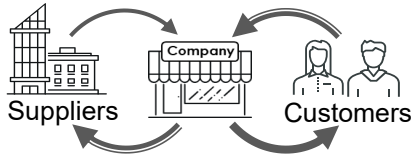
1.4 To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.



Balance Sheet					Income Statement			
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense	= Net Income

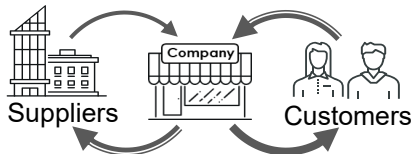
August transactions (mapping)
1. August 1: Received cash from customers for services provided. Debit: Cash, Credit: Service Revenue. 2. August 5: Paid for advertising expenses. Debit: Advertising Expense, Credit: Cash. 3. August 10: Received cash from customers for services provided. Debit: Cash, Credit: Service Revenue. 4. August 15: Paid for utilities. Debit: Utilities Expense, Credit: Cash. 5. August 20: Received cash from customers for services provided. Debit: Cash, Credit: Service Revenue. 6. August 25: Paid for salaries. Debit: Salaries Expense, Credit: Cash. 7. August 30: Received cash from customers for services provided. Debit: Cash, Credit: Service Revenue.

2.1 On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.



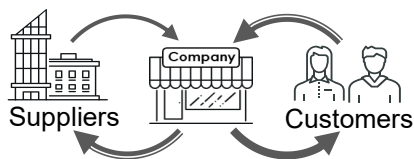
Balance Sheet								Income Statement					
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

2.2 Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.



Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

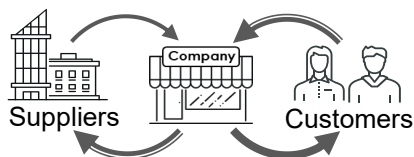
2.3 On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).



Balance Sheet						Income Statement			
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	

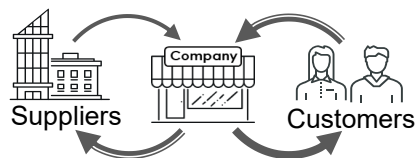
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2.4 On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.



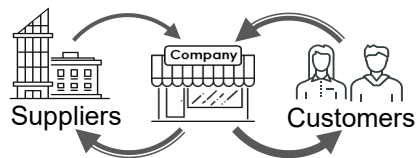
Balance Sheet						Income Statement			
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	

2.5 During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.



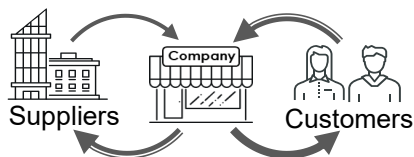
Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

2.6 At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.



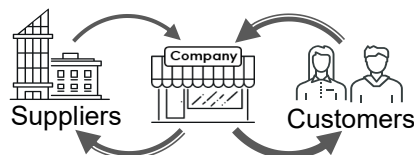
Balance Sheet							Income Statement						
Cash	+	Noncash Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

2.7 At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10.



Balance Sheet					Income Statement			
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense	= Net Income

2.8 On August 31, THL declared and paid out \$1,000 in dividends.



Balance Sheet					Income Statement			
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense	= Net Income

Adjustments on August 31

ADJ-1: EQUIPMENT

Recognize the use of the equipment for 1 month and therefore record the appropriate depreciation for 1 month.

Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

ADJ-2: INTEREST

Recognize the passage of time and the “charge” for interest (as “fee for renting money”) relating to August.

Balance Sheet									Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

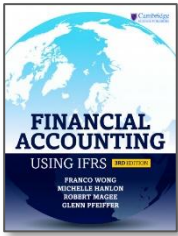
ADJ-3: RENT

Recognize the passage of time and the “charge” for the use of space (i.e. rent) relating to August.

Balance Sheet								Income Statement						
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+ Contributed Capital	+	Earned Capital	Revenue	-	Expense	=	Net Income

APPENDIX 1: ACCOUNTING CONVENTIONS (DEBITS & CREDITS)

A1.1 | We can use debits and credits to communicate impact on financial statement accounts



Chapter 2 | LO 6

- Use journal entries and T-accounts to analyse and record transactions (pp. 57-65)

Debits and Credits: Debits and credits come down to us from the merchant bookkeeping of Renaissance Italy. At first the terms were personal, because ledgers tracked people (a debtor owed the business, and a creditor was owed by it). As accounting grew to cover impersonal accounts like cash and inventory, those meanings faded into pure convention:

- By convention, **assets hold debit balances** while **liabilities and equity hold credit balances**.
- Used as verbs, **debits increase assets** while credits decrease them. The reverse is true for liabilities and equity: **credits increase liabilities and equity**, while debits decrease them.
- Revenues** increase equity, so they **have credit balances**. **Expenses** decrease equity so they **have debit balances**.

Balance Sheet					Income Statement		
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense = Net Income
ASSETS		LIABILITIES + EQUITY			Increases Equity	Decreases Equity	
DEBIT balance		CREDIT balance			CREDIT balance	DEBIT balance	

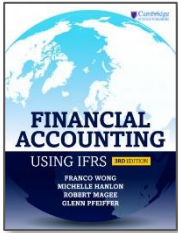
EXERCISE A1.1: Map the debits and credits

REFLECT: Map the following transaction to the financial statements effects template (FSET) and then communicate the impact on financial statement accounts using “debits” and “credits”.

1.1 On July 1st, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

Balance Sheet					Income Statement		
Cash	+	Noncash Assets	=	Liabilities + Contributed Capital + Earned Capital	Revenue	-	Expense = Net Income
DEBIT		CREDIT			CREDIT	DEBIT	

A1.2 | We can use journal entries to record transactions as debits and credits



Chapter 2 | LO 6

- Use journal entries and T-accounts to analyse and record transactions (pp. 57-65)

Journal entries:

- Each journal entry is a **dated record of a single financial event written as debits and credits** (e.g., a transaction such as a sale, or an adjustment such as recording depreciation).
- Journal entries were used as early paper journals, and it remains how accounting software works today. As convention, each entry includes the date of the event in a column on the left, which is what places it in chronological order. **All accounts being debited are written first**, against the left margin. **All accounts being credited are written afterwards and indented to the right**. This indentation is the visual cue that an account is being credited, so the format separates debits from credits without labeling every line. The debit and credit amounts must total the same; an entry that doesn't balance is incomplete. A short description of the event is usually written just beneath the entry.

T-accounts:

- Each T-account shows the activity of a single account in one place**, gathering every debit and credit impacting the account. Named for its "T" shape, it has the account title across the top, with debits collected on the left and credits on the right. The difference between the two sides is the account's ending balance.
- Whereas journal entries list events in the order they happen, T-accounts re-sort those same debits and credits **account by account**, so each one can be totaled to find its balance.



EXERCISE A1.2: Understanding journal entries and T-accounts

REFLECT: Complete the journal entry and T-accounts using the templates below.

1.1 On July 1st, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.

Journal entry:

Date	Account & Explanations	Debit	Credit
July 1	Cash (+Assets)		
	Share Capital (+Shareholders' equity)		
	<i>Issued 500 common shares</i>		

Debits go first

Credits are indented

Debits go left

Credits go right

T-accounts:

Cash		Share Capital	
Debits	Credits	Debits	Credits

APPENDIX 2: THL FINANCIAL STATEMENTS

Total Health Limited Balance Sheet As at August 31	Opening balance, July 31	TRANSACTIONS													Ending balance, August 31
		2.1 Aug. 1	2.2 Aug. 1	2.3 Aug. 15	2.4a Aug. 20	2.4b Aug. 25	2.5a Aug. 31	2.5b Aug. 31	2.6 Aug. 31	2.7 Aug. 31	2.8 Aug. 31	ADJ-1 Aug. 31	ADJ-2 Aug. 31	ADJ-3 Aug. 31	
ASSETS															
Current assets															
Cash	\$ 10,000	(\$ 1,000)	(\$ 1,500)	(\$ 3,000)	(\$ 1,000)		\$ 8,200		(\$ 3,000)	\$ 1,000	(\$ 1,000)				\$ 8,700
Accounts receivable	\$ -						\$ 300								\$ 300
Inventory	\$ 3,000							(\$ 2,200)							\$ 800
Prepays and deposits	\$ -	\$ 1,000	\$ 1,500		\$ 1,000	(\$ 1,000)								(\$ 1,000)	\$ 1,500
Total current assets	\$ 13,000														\$ 11,300
Equipment, at cost	\$ 6,000														\$ 6,000
Less: accumulated depreciation	\$ -											(\$ 100)			(\$ 100)
Equipment, net	\$ 6,000														\$ 5,900
TOTAL ASSETS	\$ 19,000														\$ 17,200
LIABILITIES															
Current liabilities															
Accounts payable	\$ 3,000			(\$ 3,000)											\$ -
Unearned revenue	\$ -									\$ 1,000					\$ 1,000
Interest payable	\$ -												\$ 50		\$ 50
Total current liabilities	\$ 3,000														\$ 1,050
Bank loan	\$ 6,000														\$ 6,000
TOTAL LIABILITIES	\$ 9,000														\$ 7,050
EQUITY															
Share capital	\$ 10,000														\$ 10,000
Retained earnings	\$ -					(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)		(\$ 1,000)	(\$ 100)	(\$ 50)	(\$ 1,000)	\$ 150
TOTAL EQUITY	\$ 10,000														\$ 10,150
TOTAL LIABILITIES AND EQUITY	\$ 19,000														\$ 17,200

Total Health Limited Income Statement For the month ended August 31		TRANSACTIONS												
		2.1	2.2	2.3	2.4a	2.4b	2.5a	2.5b	2.6	2.7	2.8	ADJ-1	ADJ-2	ADJ-3
		Aug. 1	Aug. 1	Aug. 15	Aug. 20	Aug. 25	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31	Aug. 31
Revenue						\$ 8,500								\$ 8,500
Cost of goods sold							\$ 2,200							\$ 2,200
Gross profit														\$ 6,300
Operating expenses														
Rent expense													\$ 1,000	\$ 1,000
Advertising expense					\$ 1,000									\$ 1,000
Wages expense								\$ 3,000						\$ 3,000
Depreciation expense											\$ 100			\$ 100
Total operating expenses														\$ 5,100
Operating income														\$ 1,200
Interest expense												\$ 50		\$ 50
Net income						(\$ 1,000)	\$ 8,500	(\$ 2,200)	(\$ 3,000)			(\$ 100)	(\$ 50)	(\$ 1,000) \$ 1,150

Total Health Limited Statement of Shareholders' Equity For the month ended August 31			
	Share capital	Retained earnings	Total
Balance, July 31	\$ 10,000	\$ -	\$ 10,000
Net income for August		\$ 1,150	\$ 1,150
Dividends declared		(\$ 1,000)	(\$ 1,000)
Balance, August 31	\$ 10,000	\$ 150	\$ 10,150

NOTES AND REFLECTIONS

Most important ideas/points:

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